

Research Briefing | Spain

Pondering the puzzle of Spain's delayed recovery

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- **Spain is the clear laggard among European economies in its recovery from the Covid-19 recession. The large hit to an oversized tourism sector is an obvious reason for the delay, but a much slower revival in household spending is a bigger factor that's harder to reconcile with alternative economic data.**
- **The surge in inflation is responsible for some of the consumption shortfall, but we don't believe price pressures explain all of it. Another possible reason, such as the slow absorption of EU funds, is already incorporated in our baseline, so we don't consider that a likely cause for the underperformance, either.**
- **More critically, the collapse in labour productivity implied by GDP figures is another puzzle that cannot be easily explained by economic reasons and leads us to think we may see national accounts revisions down the line.**

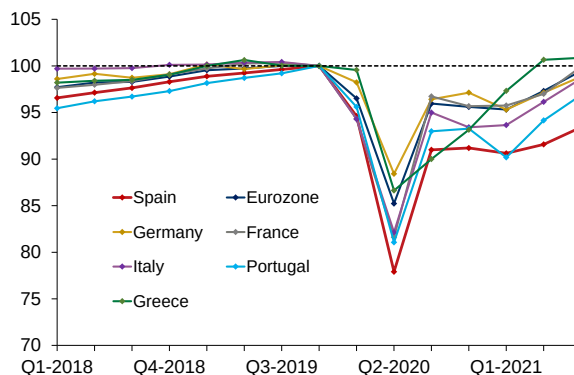
One of the most remarkable developments in the aftermath of the Covid-19 recession has been a much smaller divergence between [Northern and Southern Europe](#) compared to previous crises. Spain, however, is the one glaring exception and stands alone as a clear laggard in the recovery. In Q3 2021, the Spanish economy was still nearly 7% smaller than it was before the crisis, in contrast with the broader eurozone economy which has seen GDP almost regain pre-pandemic levels (**Figure 1**). Even when compared with its Southern peers, Spain lags well behind countries such as Italy, Portugal, or Greece.

Part of the reason for this gap comes from the fact that [Spain](#) suffered one of the most severe economic impacts from the Covid-19 crisis in the world in 2020; therefore, its recovery began well behind the rest. But that still does not explain the disappointing recovery, especially over the past two quarters as the economy fully reopened and daily activities essentially returned to normal.

Figure 1: Spain's GDP recovery lags everyone else in Europe

Gross domestic product

Q4 2019 = level 100



Source: Oxford Economics/Haver Analytics

Note: Q3 2021 data for Greece are OE forecasts

Spain has clearly fallen behind other eurozone economies in terms of recovering from the Covid-19 recession.

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From a demand standpoint, two components show the largest divergence compared to the eurozone average and bear much of the responsibility for the shortfall: household spending and exports of services.

Exports of services is the obvious starting point, as it captures tourism revenues, one of the longstanding vulnerabilities for Spain throughout the crisis. The 29% drop in services exports compared to pre-crisis levels is nearly five times greater than the eurozone average (**Figure 2**), a factor of Spain's much larger tourism sector. Therefore, it's more informative to compare Spain's numbers with other tourism hotspots such as Italy, Greece, or Portugal. Even here, we can see Spain faring worse. Despite a sizable rebound after a positive summer campaign, Spain lags its regional competitors (**Figure 3**). While several factors are likely behind this gap, including different levels of restrictions and Covid-19 infection numbers, we think the clear differentiator is the oversized impact that the collapse of UK travelling has had on the Spanish tourism industry, given that British travellers accounted for a quarter of total visitors before the pandemic. As such, we expect that the recent relaxation of travel restrictions in the UK will be particularly beneficial for Spain.

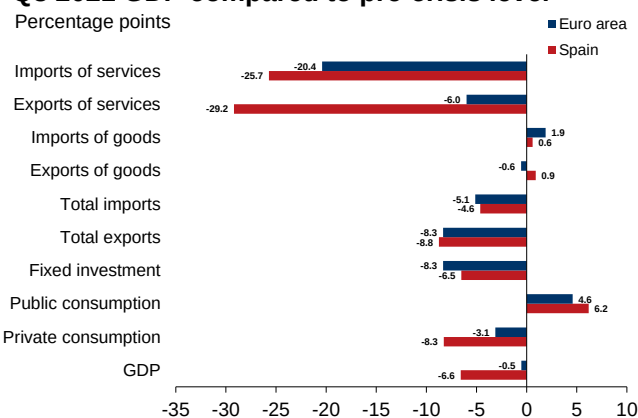
The other – much larger – driver of the shortfall in Spanish GDP comes from household spending. In nominal terms, three-quarters of the €80bn GDP gap vs. pre-crisis levels comes from a large hole in private consumption. Consumer spending is still 8% below the level where it was prior to the crisis, a disparity more than twice as large as the next country in the European ranking (**Figure 4**).

With employment (and by extension the aggregate amount of wages in the economy) close to pre-pandemic levels, this shortfall in consumer spending suggests a retrenchment by consumers that is hard to explain. As we've argued before, part of this gap comes from forced savings due to pandemic restrictions. But while this was true in 2020 and at the start of this year, it sounds a lot less plausible in recent months with the lifting of restrictions. Between Q1 and Q3 2021, consumer spending has grown by a cumulative 4%, roughly half of the estimated growth seen in the eurozone, even though Spain is coming from a much lower base.

One possible explanation for the weakness in consumer spending is the impact that the surge in inflation may have caused, especially given that Spanish households spend relatively more on energy than the European average.

Figure 2: GDP shortfall is centred around private consumption and exports of services

Q3 2021 GDP compared to pre-crisis level



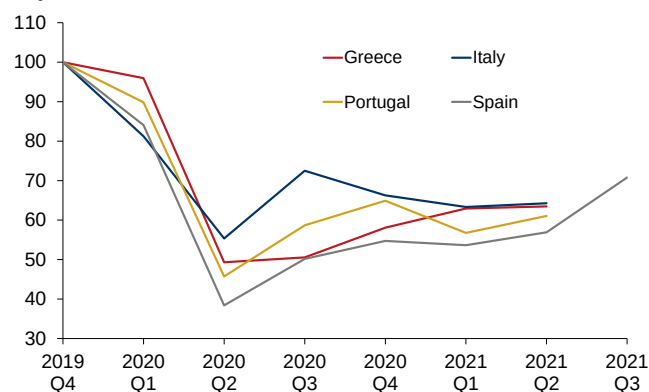
Source: Oxford Economics/Haver Analytics

Note: Eurozone data are forecasts based on reported national data

Figure 3: Lagging recovery in tourism is one the reasons for Spain falling behind

Exports of services

Q4 2019 = level 100



Source: Oxford Economics/Haver Analytics

*Only Spain has reported data for Q3 2021

Figure 4: The impact on consumer spending has been much larger than elsewhere in Europe

Household spending compared to pre-crisis level

Percentage points



Source: Oxford Economics/Haver Analytics

Note: OE forecasts where national accounts data for Q3 not yet available

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But, while the large [impact of inflation](#) on activity in Spain is a risk we have highlighted before, we remain unconvinced it can explain such a large divergence, especially given that consumer confidence has held up quite well despite the increased concerns about the inflation surge.

The contraction in consumer spending reported in Q3 is particularly surprising, as it does not match other data such as high-frequency figures for credit-card spending (**Figure 5**), which showed expenditure broadly stable at robust levels over the past months. This weakness in consumption also contradicts the impressive comeback for Spanish domestic tourism during the summer, with visitors and expenditure figures surpassing pre-crisis levels.

Weak GDP figures stand in contrast with the strong jobs numbers we've seen in the past year. Taken at face value, GDP figures reveal a collapse in labour productivity for which we have no explanation. Even if we move away from employment data (which is distorted by the inclusion of furloughed workers) and use worked hours instead, figures show that labour productivity in Spain has completely decoupled from other countries since Q3 2020 for no obvious reason (**Figure 6**). This collapse in productivity is also in contradiction with the changes in the Spanish labour market caused by the pandemic. With [job losses concentrated in low productivity sectors](#) such as trade, transport, and hospitality, compositional effects should lead to higher aggregate productivity, not lower. Digging deeper into the data for productivity by sector (**Figure 7**) reveals that the fall in the aggregate number is driven by an apparent collapse in productivity in construction (-23%) and in real estate (-30%). No clear reason can be found, given strong activity in the housing market and the fact that construction remains relatively unaffected by input shortages.

This collapse in labour productivity for which we have no obvious economic answer makes us suspect measurement issues of some sort. Given that employment data do not get usually revised backwards, the only logical alternative would be an eventual revision to national accounts. We think it likely that we will see revisions to the recently released flash Q3 GDP components, especially consumer spending. But eventual revisions to earlier data will not take place until at least next year, when additional data is incorporated. So, the puzzle of Spain's lagging recovery is likely to remain unsolved for some time.

Figure 5: Credit-card data suggest consumption has remained robust in recent months

Credit card consumption

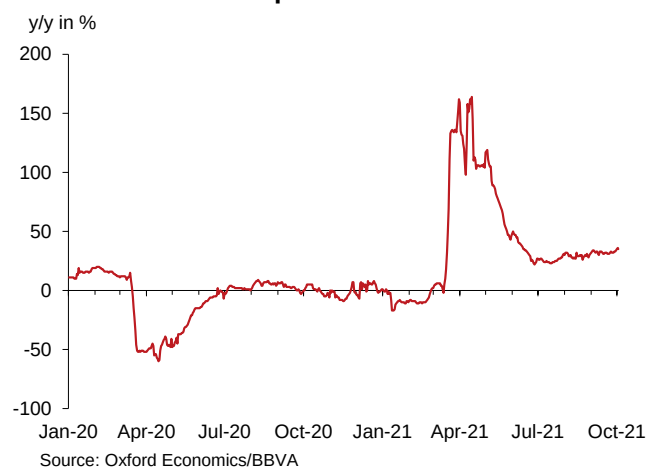


Figure 6: Labour productivity has decoupled completely in Spain

Labour productivity per hour worked

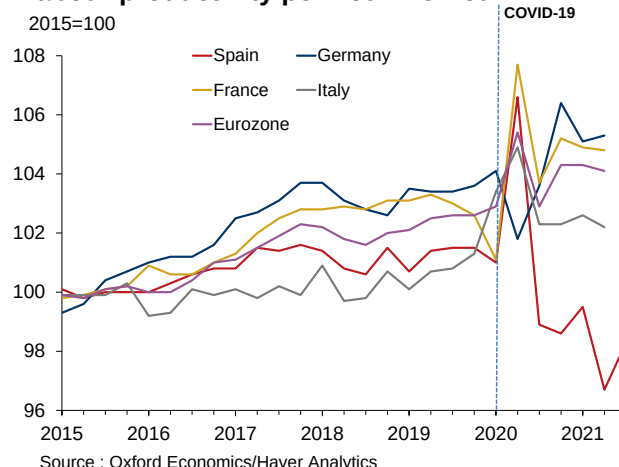


Figure 7: Labour productivity at the sector level reveals a collapse in construction and real estate

Output per hour worked (Q3 2021 vs Q2 2020)

